

MCQs for Exam Preparation

Chapter 6: Strategic Alignment

1. What is the definition of strategic alignment in the context of HR?

- a) Integration of HR strategy with business strategy
- b) The process of hiring employees
- c) Managing performance reviews
- d) Setting up payroll

Key: a

2. Vertical integration in HR strategy is also known as:

- a) Horizontal fit
- b) Best practice
- c) External fit or integration with corporate strategy
- d) Organizational structure

Key: c

3. What does horizontal integration refer to in strategic alignment?

- a) The relationship between managers and subordinates
- b) The integration of individual HR strategies with one another
- c) The integration of HR strategy with corporate strategy
- d) The physical layout of the office

Key: b

4. The debate on whether HR strategy should be determined by organizational circumstances or follow generally accepted effective approaches is known as:

- a) Vertical vs horizontal integration
- b) Best fit vs best practice
- c) Internal vs external alignment
- d) Strategic vs operational management

Key: b

5. According to CIPD, the relationship between individual HR strategies and business strategy is:

- a) HR strategy should simply follow business strategy
- b) Business strategy is completely independent of HR strategy
- c) The two must inform one another
- d) HR strategy should dictate the business strategy

Key: c

Chapter 7: The Resource-Based View (RBV)

1. The resource-based view (RBV) assumes that competitive advantage is achieved when resources are:

- a) Valuable, rare, inimitable, and non-substitutable
- b) Cheap, accessible, and easily duplicated
- c) Mobile, identical, and easily managed
- d) Strategic, aligned, and universally applicable

Key: a

2. In the context of RBV, human capital refers to:

- a) The number of employees in a firm
- b) The cost of employing human resources
- c) The knowledge, skills, abilities, and capacity to innovate possessed by people
- d) The physical assets of a company

Key: c

3. Which theory is closely associated with the Resource-Based View?

- a) Scientific Management Theory
- b) Human Capital Theory
- c) Maslow's Hierarchy of Needs
- d) Systems Theory

Key: b

4. According to Barney (1991), sustained competitive advantage occurs when:

- a) Competitors can easily duplicate the strategy
- b) A firm implements a value-creating strategy not currently implemented by competitors and others cannot duplicate it
- c) The firm has the highest revenue in the market
- d) The firm hires the most employees

Key: b

5. How does RBV view a firm?

- a) As a profit-making machine
- b) As a rigid hierarchy
- c) As a bundle of tangible and intangible resources required for product/market competition
- d) As a collection of independent departments

Key: c

Chapter 8: Ability, motivation and opportunity (AMO)

1. The AMO formula states that performance is a function of:

- a) Attitude, management, and organization
- b) Ability, motivation, and opportunity
- c) Action, motivation, and objectives
- d) Assessment, mapping, and operations

Key: b

2. In the AMO model, 'Ability' refers to:

- a) A force that directs and sustains behaviour
- b) Contextual factors beyond direct control
- c) Physiological and cognitive capabilities, knowledge, skills, and competencies
- d) The financial resources of an individual

Key: c

3. How is 'Motivation' defined in the context of the AMO framework?

- a) The willingness and desire of employees to perform a task
- b) Environmental factors that influence performance
- c) The procedural knowledge of how to do things
- d) The capacity to learn new skills rapidly

Key: a

4. According to Dreyer and Docherty (2001), ability consists of 'procedural knowledge' and:

- a) Emotional knowledge
- b) Declarative knowledge
- c) Tactical knowledge
- d) Contextual knowledge

Key: b

5. What does 'Opportunity' cover in the AMO model according to Bos-Nehles et al (2023)?

- a) The physiological strength of an employee
- b) An employee's personal ambition
- c) Contextual or environmental factors beyond the direct control of an individual
- d) The chance to receive a promotion every year

Key: c

